

# **ANALYSIS OF INCOME STATEMENT. REFORMULATION CHOICES: CORE EBIT AND UNUSUAL ITEMS**

Chapter 2



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- NET FINANCIAL EXPENSES VS. NET FINANCIAL POSITION / FINANCIAL ASSETS ARE NOT ALL THE SAME...
- INVESTMENTS IN OTHER COMPANIES: A CLASSIFICATION / WHAT WE SEE IN CONSOLIDATED FINANCIAL STATEMENTS
- HISTORY: THE COCA-COLA CASE / REVIEW: THE EUIY METHOD FOR INVESTMENTS IN ASSOCIATES / COCA COLA COMPANY - ANNUAL REPORT, YEAR ENDED DECEMBER 31, 2005 / OBJECTIVE OF THE ANALYTICAL ADJUSTMENTS / From: J. E. Ketz, Hidden Financial Risk. Understanding Off-Balance Sheet Accounting, WILEY, 2003
- NON CORE OPERATING INCOME: THE ANCILLARY OPERATING ACTIVITIES
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- UNUSUAL ITEMS
- HOW COMPANIES HELP THE ANALYSTS...
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- Coherence with the reformulated Balance Sheet
- Separation of all the unusual (nonrecurring items)
- Distinction between core and non core operating income
- Specific choices about financial income

|                                                                                      |
|--------------------------------------------------------------------------------------|
| <b>Net Revenues</b>                                                                  |
| - Cost of Goods Sold                                                                 |
| - Selling expenses                                                                   |
| - General & administrative expenses                                                  |
| - R&D expenses                                                                       |
| <b>= Core Operating Income from sales [A]</b>                                        |
| + Financial Income (ex. Income from Associates)                                      |
| + Income from Investment Properties                                                  |
| + Income from Ancillary activities (Non-Core Business Units)                         |
| <b>= Non Core Operating Income [B]</b>                                               |
| <b>= OPERATING INCOME [A+B]</b>                                                      |
| + Financial Income (interest income on short-term financial assets)                  |
| - Financial Expenses (interest expenses)                                             |
| <b>= -/+ Net Financial Expenses(Income) [C]</b>                                      |
| <b>= INCOME BEFORE UNUSUAL ITEMS AND TAXES [A+B+C]</b>                               |
| <b>+/- Unusual Items (Non-recurring Operating and Financial income and expenses)</b> |
| <b>= INCOME BEFORE TAXES</b>                                                         |
| <b>+/-Income Taxes</b>                                                               |
| <b>= NET INCOME (COMPREHENSIVE INCOME)</b>                                           |

|                                                                                                         |                                                                                         |
|---------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------|
| <b>Current (Core) Operating Assets</b>                                                                  | <b>Current operating Liabilities</b>                                                    |
| <b>Non Current (Core) Operating Assets</b>                                                              | <b>Net Financial Position<br/>(Financial liabilities - Short-term financial assets)</b> |
| <b>Non Core Operating Assets<br/>(Financial Assets, Investment Properties and Ancillary Net Assets)</b> |                                                                                         |
|                                                                                                         | <b>Net Equity</b>                                                                       |



The matching (offsetting) of financial expenses/income is related to the matching of financial liabilities/assets in the balance sheet.

|                               |              |                  |                               |           |
|-------------------------------|--------------|------------------|-------------------------------|-----------|
| Financial Liabilities         | 2.000        | 5% (avg. cost)   | Financial Expenses            | 100       |
| - S-T Financial Assets        | -1.000       | 2% (avg. return) | - S-T Financial Income        | -20       |
| <b>Net Financial Position</b> | <b>1.000</b> |                  | <b>Net Financial Expenses</b> | <b>80</b> |

- Assuming that you can sell the financial assets and use the cash to reimburse some financial liabilities, you will get 1.000 as final amount of liabilities.
- As a consequence, there will be no more financial income and the effect in the income statement will be a financial cost of ...80? (the Net Financial Expenses)
- NO!!!: we will pay a 5% interest rate on a 1.000 financial liabilities: 50!
- Consider this ratio: *Net Financial Expenses / Net Financial Position*
  - We get  $80 / 1.000 = 8\%$
  - Does it make sense? No!
- Moreover, this analysis is relevant if the financial income amount is made up of *interest income* from short-term bonds, so a foreseeable *monetary return*. But financial income may include *dividends, gains/losses from fair value adjustments, impairments on financial assets....*



## Financial assets can include totally different investments:

### 1. Liquidity investments:

- Bonds (to earn interest income and capital gains)
- Shares (to earn dividend income and capital gains)

### 2. Strategic investments:

- Equity interests in other companies, i.e subsidiaries, associates and other: relevance of synergies, more than dividends and capital gains...
- Loans to other companies, mainly subsidiaries and associates: relevance of synergies, more than interest income (you often find the use of non-interest-bearing loans)

## As a consequence, how do we interpret the related financial income?

- From the **liquidity investments** we expect a recurring monetary return and because of a trading perspective capital gains are relevant as well;
- From the **strategic investments** we expect synergies, much more than dividends; often dividends are not recurring, especially for non-listed companies; capital gains are less relevant because there is not a trading perspective.

Some investments in other companies (subsidiaries, associates and joint ventures) are often considered as «operating» investments: they are relevant because of the strategic connections between the holding company and the “participated” companies. Typically there is an alliance/partnership connection in the same industry or in closed industries, and the participated company can be a supplier, a distributor, a manufacturing plant, and R&D company etc.)

These investments are usually relevant (amount and “influence”); and they aim to improve the operating result of the “investor” company

**Question:** Can we consider these investments as (core) operating investments? Can we classify the financial income originated from these investments (dividends, equity in associate’s profit/loss and impairments) as (core) operating items?

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### SOME DEFINITIONS:

A **subsidiary** is an entity, including an unincorporated entity such as a partnership, that is controlled by another entity (known as the parent).

An **associate** is an entity, including an unincorporated entity such as a partnership, over which the investor has significant influence and that is neither a subsidiary nor an interest in a joint venture. Significant influence is the power to participate in the financial and operating policy decisions of the investee but is not control or joint control over those policies.

A **joint arrangement** is an arrangement of which two or more parties have joint control. A joint arrangement has the following characteristics:

- (a) The parties are bound by a contractual arrangement.
- (b) The contractual arrangement gives two or more of those parties joint control of the arrangement (see paragraphs 7–13).

A joint arrangement is either a **joint operation** or a **joint venture**.

**Remember that in consolidated financial statements:**

- **Subsidiaries** are fully consolidated
- Investments in **Associates** are accounted for using the equity method
- Investments in **Joint Arrangements** are accounted for as follows:
  - A **joint operator** shall account for the assets, liabilities, revenues and expenses relating to its interest in a joint operation in accordance with the IFRSs applicable to the particular assets, liabilities, revenues and expenses.
  - A **joint venturer** shall recognize its interest in a joint venture as an investment and shall account for that investment using the equity method.

As a consequence, **the reclassification issue can be relevant only for unconsolidated companies and for investments in associates and joint ventures.**

**Usually “unconsolidated companies”, even if they are strategically relevant, are classified as financial investments (→ financial income): indirect benefits on holding’s operating profit are difficult to identify**

**If the unconsolidated companies are relevant, the analyst can solve this issue by requiring (or doing by himself) a consolidation on a proportionate basis**

From an article published on Forbes:

*“The biggest bottlers aren’t subsidiaries of Coke, nor are they completely independent. Coke effectively controls them by maintaining big equity stakes and a heavy presence on their boards, and by providing their main source of business. Yet it keeps its stakes in the bottlers below 50%, thereby avoiding getting hit with their piles of debt and any unpleasant liabilities”.*

Paul Klebnikov, Coke’s Sinful World, 22th of December, 2003.

<https://www.forbes.com/forbes/2003/1222/086.html#765909b2d721>

**What happens if we consolidate the associates? (with the proportional consolidation method) instead of treating the investment with the “equity method”?**

**Associate:** An entity over which the investor has **significant influence**.

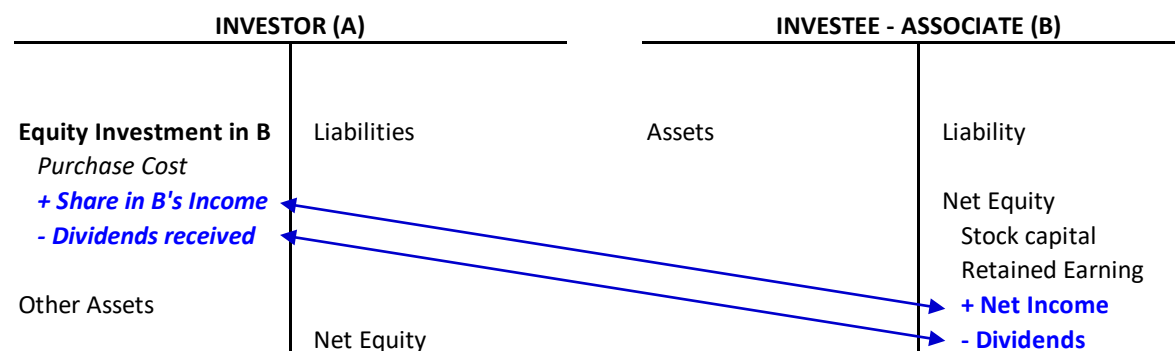
**Significant influence:** The power to participate in the financial and operating policy decisions of the investee but is not control or joint control of those policies

**Where an entity holds 20% or more of the voting power (directly or through subsidiaries) on an investee, it will be presumed the investor has significant influence unless it can be clearly demonstrated that this is not the case.** If the holding is less than 20%, the entity will be presumed not to have significant influence unless such influence can be clearly demonstrated. A substantial or majority ownership by another investor does not necessarily preclude an entity from having significant influence.

The **existence of significant influence** by an entity is usually evidenced in one or more of the following ways:

- ☐ representation on the board of directors or equivalent governing body of the investee;
- ☐ participation in the policy-making process, including participation in decisions about dividends or other distributions;
- ☐ **material transactions between the entity and the investee;** (relevant for CCC and CCE)
- ☐ interchange of managerial personnel;
- ☐ or provision of essential technical information

| Application of Equity Method |                                                                       |
|------------------------------|-----------------------------------------------------------------------|
| Investee Event               | Investor Accounting                                                   |
| Income is earned.            | Proportionate share of income is recognized.                          |
| Dividends are distributed.   | Investor's share of investee dividends reduce the investment account. |



*“Coca-Cola Enterprises Inc., including its bottling subsidiaries and divisions (“CCE”), accounted for approximately 50 percent of the Company’s U.S. gallon sales in 2005. At December 31, 2005, our Company held an ownership interest of approximately 36 percent in CCE, which is the world’s largest bottler of Company Trademark Beverages”. (page 5)*

*“Coca-Cola Enterprises Inc.. Our ownership interest in CCE was approximately 36 percent at December 31, 2005. CCE is the world’s largest bottler of the Company’s beverage products. In 2005, sales of concentrates, syrups and finished products by the Company to CCE were approximately \$5.1 billion”. (page 8)*

**Coca-Cola has referred to its product as the real thing, but what about its balance sheet? Is it the real thing? Critics often have complained about the firm’s strategy to devise affiliates with just under 50 percent ownership but completely under the control of the parent company. This strategy allows Coke to apply the equity method for its investments in affiliates instead of consolidating their results with the mother firm.**

**What is really going on by consolidating the results of Coca-Cola Enterprises, one of the main bottlers for the group?**



**Replace the equity method of accounting for the CCE investment with a proportional consolidation of the balance sheet and the income statement of CCE.**

From the book: J. Edward Ketz, Hidden Financial Risk. Understanding Off-Balance Sheet Accounting, WILEY, 2003:

*“Unfortunately, we do not have enough data to consolidate the other bottlers and franchisees and various affiliates with the parent company.*

*The financial statements for Coca-Cola Enterprises and some data about the intercompany transactions are available so that the results can be consolidated with some degree of reliability.*

*Even if we do not have fair values of the assets and liabilities of Coca-Cola Enterprises, this is not critical, however, because we shall assume that the fair value differentials (fair value less book value) have been completely depreciated; this seems reasonable given that Coca-Cola has owned these bottlers for several decades. Goodwill, on the other hand, can be estimated as the difference between the carrying amount in the investments account and the book values of the net assets of Coca-Cola Enterprises (assumption that goodwill is either unimpaired or that any impairment has been accounted for by the parent corporation).”*



### Exhibit 3.5 Financial Ratios of Coca-Cola Equity Method versus Consolidation

| Financial Ratios          | 2001   |              | 2000   |              |
|---------------------------|--------|--------------|--------|--------------|
|                           | Equity | Consolidated | Equity | Consolidated |
| Current Ratio             | 0.85   | 0.77         | 0.71   | 0.74         |
| Debt to Equity            | 0.97   | 2.39         | 1.24   | 2.80         |
| Debt to Tangible Equity   | 1.26   | (8.21)       | 1.56   | (7.29)       |
| Debt to Assets            | 0.49   | 0.70         | 0.55   | 0.74         |
| Debt to Tangible Assets   | 0.56   | 1.14         | 0.61   | 1.16         |
| Gross Profit              | 0.70   | 0.64         | 0.69   | 0.63         |
| Return on Sales           | 0.20   | 0.13         | 0.11   | 0.07         |
| Return on Assets          | 0.18   | 0.09         | 0.10   | 0.05         |
| Return on Tangible Assets | 0.20   | 0.14         | 0.12   | 0.08         |
| Return on Equity          | 0.35   | 0.30         | 0.23   | 0.20         |
| Return on Tangible Equity | 0.45   | (1.04)       | 0.29   | (.52)        |
| Times Interest Earned     | 20.62  | 6.61         | 8.60   | 3.82         |
| Inventory Turnover        | 5.73   | 6.35         | 5.82   | 6.55         |
| Receivables Turnover      | 10.90  | 9.06         | 11.32  | 9.73         |
| LTD to Equity             | 0.11   | 0.88         | 0.09   | 1.02         |
| LTD to Assets             | 0.05   | 0.26         | 0.04   | 0.27         |



Firstly, our definition of “Non Core Operating Activities” was related to the net income from financial assets and investments property, the so called ‘surplus assets’ (because of their nature); now we can introduce a second possible category of Non Core Operating Activities, the **Ancillary Activities**:

**(Non-Core Operating) Ancillary Activities (and related net assets) - Investment choices (and related income) in manufacturing/trading business that are ancillary compared to the core/main businesses of the company; examples**

- Merchandising / fundraising for a theatre/opera association
- Gains/losses from disposal of players for a football company
- License revenues (royalties) for a manufacturing company

**For listed companies that operate in several business areas, these are usually identified through the «segment reporting» (IFRS 8)**

**If there are a few ancillary businesses (really different from main/typical businesses), analysts can separately classify them with the aim to identify a “core operating income” that only pertains to the main/typical business areas (the “core business”) of the company: it is a discretionary choice!**

**It should be the same for “Net Assets” in the balance sheet: Non Operating Assets.**

## 4.1 Statement of earnings by business segment

### Year ended December 31, 2023

(in millions of euros)

#### REVENUES

Operating expenses excluding amortization and depreciation  
as well as charges related to share-based compensation plans  
Charges related to share-based compensation plans

#### EBITDA\*

Restructuring charges  
Gains/(losses) on sales of tangible and intangible assets  
Depreciation of tangible assets  
Amortization of intangible assets excluding those acquired through business  
combinations  
Amortization of rights-of-use relating to leases  
Income from equity affiliates - operational  
of which Universal Music Group

Lagardère (until November 30, 2023)

Other operating charges and income

#### Adjusted earnings before interest and income taxes (EBITA)\*

Amortization of intangible assets acquired through business combinations  
Impairment losses on intangible assets acquired through business combinations

#### EARNINGS BEFORE INTEREST AND INCOME TAXES (EBIT)

| Canal+ Group | Lagardère | Havas   | Prisma Media | Gameloft | Vivendi Village | New Initiatives | Generosity and solidarity | Corporate | Eliminations and other | Total Vivendi |
|--------------|-----------|---------|--------------|----------|-----------------|-----------------|---------------------------|-----------|------------------------|---------------|
| 6,058        | 670       | 2,872   | 309          | 311      | 180             | 152             | 3                         | -         | (45)                   | 10,510        |
| (5,213)      | (622)     | (2,407) | (270)        | (285)    | (153)           | (174)           | (12)                      | (114)     | 45                     | (9,205)       |
| (2)          | (1)       | (3)     | (1)          | (1)      | -               | -               | -                         | (3)       | -                      | (11)          |
| 843          | 47        | 462     | 38           | 25       | 27              | (22)            | (9)                       | (117)     | -                      | 1,294         |
| (5)          | (2)       | (33)    | (1)          | (5)      | (1)             | -               | -                         | (3)       | -                      | (50)          |
| (1)          | -         | (5)     | -            | -        | -               | -               | -                         | -         | -                      | (6)           |
| (141)        | (14)      | (49)    | (1)          | (2)      | (3)             | (16)            | (2)                       | (2)       | -                      | (230)         |
| (131)        | (3)       | (5)     | (2)          | (6)      | (2)             | (3)             | -                         | -         | -                      | (152)         |
| (39)         | (7)       | (65)    | (6)          | (6)      | (3)             | (2)             | (1)                       | (7)       | -                      | (136)         |
| (1)          | (1)       | 1       | -            | -        | -               | -               | -                         | -         | 219                    | 218           |
|              |           |         |              |          |                 |                 |                           |           | 94                     | 94            |
|              |           |         |              |          |                 |                 |                           |           | 125                    | 125           |
| -            | -         | 4       | -            | (1)      | (5)             | -               | (1)                       | (1)       | -                      | (4)           |
| 525          | 20        | 310     | 28           | 5        | 13              | (43)            | (13)                      | (130)     | 219                    | 934           |
| (44)         | (10)      | -       | (3)          | (1)      | -               | -               | -                         | -         | (27)                   | (85)          |
| (1)          | -         | -       | -            | -        | -               | (1)             | -                         | -         | -                      | (2)           |
|              |           |         |              |          |                 |                 |                           |           |                        | 847           |

### Year ended December 31, 2024

(in millions of euros)

#### REVENUES

#### Adjusted earnings before interest and income taxes (EBITA)\*

Amortization of intangible assets acquired through business combinations  
Impairment losses on intangible assets acquired through business combinations  
Settlement agreement with all the institutional investors

#### EARNINGS BEFORE INTEREST AND INCOME TAXES (EBIT)

| Gameloft | Corporate | Share of UMG | Other | Eliminations of intersegment transactions | Total Vivendi |
|----------|-----------|--------------|-------|-------------------------------------------|---------------|
| 293      | -         | -            | 4     | -                                         | 297           |
| 8        | (126)     | 122          | (5)   | -                                         | (1)           |
| -        | -         | (27)         | -     | -                                         | (27)          |
| (140)    | -         | -            | -     | -                                         | (140)         |
| -        | (96)      | -            | -     | -                                         | (96)          |
| (132)    | (222)     | 95           | (5)   | -                                         | (264)         |



Why do you suppose these unusual items should be reported separately from continuing operations? Because it allows investors to **make decisions about the corporation based on continuing (normal) operations, without consideration for activities that are unusual and therefore unlikely to re-occur**

➔ Towards a concept of recurring / persistent / sustainable income

The **position of the Accounting Standard Bodies (IASB and FASB)** is to separate the results from:

1. **Discontinued operations:** When a business segment (a major line of business for the corporation) is disposed of (discontinued), the resulting gain or loss must be reported separately from income from continuing operations. A business segment could be a department, a division, or a class of customers
2. **Changes from one generally accepted accounting principle to another:** A business may be **required** to change its accounting principles based on a new accounting standard issued by FASB/IASB. A business may **voluntarily** change from one generally accepted accounting principle to another: ex. from FIFO to LIFO, from the straight line method to the units of production method of depreciation

At the opposite, the separate category of “**Extraordinary items**” was eliminated by both IASB (2005) and FASB (2015).



## Consolidated income statement

For the year ended 31 December

Million US dollar, except earnings per share in US dollar

|                                                              | Notes | 2025           | 2024           |
|--------------------------------------------------------------|-------|----------------|----------------|
| <b>Revenue</b>                                               |       | <b>59 320</b>  | <b>59 768</b>  |
| Cost of sales                                                |       | (26 141)       | (26 744)       |
| <b>Gross profit</b>                                          |       | <b>33 179</b>  | <b>33 024</b>  |
| Distribution expenses                                        |       | (6 092)        | (6 201)        |
| Sales and marketing expenses                                 |       | (7 374)        | (7 156)        |
| Administrative expenses                                      |       | (4 667)        | (4 983)        |
| Other operating income/(expenses)                            | 7     | 808            | 779            |
| <b>Profit from operations before non-underlying items</b>    |       | <b>15 854</b>  | <b>15 462</b>  |
| Non-underlying income/(expense) above profit from operations | 8     | (449)          | 25             |
| <b>Profit from operations</b>                                |       | <b>15 405</b>  | <b>15 487</b>  |
| Finance expense                                              | 11    | (4 933)        | (5 100)        |
| Finance income                                               | 11    | 653            | 742            |
| Non-underlying net finance income/(expense)                  | 11    | (185)          | (995)          |
| <b>Net finance income/(expense)</b>                          |       | <b>(4 465)</b> | <b>(5 353)</b> |
| Share of results of associates                               | 16    | 378            | 329            |
| Non-underlying share of results of associates                | 8/16  | 9              | 104            |
| <b>Profit before tax</b>                                     |       | <b>11 328</b>  | <b>10 568</b>  |
| Income tax expense                                           | 12    | (2 850)        | (3 152)        |
| <b>Profit of the period</b>                                  |       | <b>8 477</b>   | <b>7 416</b>   |
| Profit of the period attributable to:                        |       |                |                |
| Equity holders of AB InBev                                   |       | 6 837          | 5 855          |
| Non-controlling interest                                     |       | 1 640          | 1 561          |
| Basic earnings per share                                     | 21    | 3.45           | 2.92           |
| Diluted earnings per share                                   | 21    | 3.39           | 2.86           |
| Underlying earnings per share <sup>1</sup>                   | 21    | 3.73           | 3.53           |



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## 8. Non-underlying items

IAS 1 *Presentation of financial statements* requires that material items of income and expense be disclosed separately. Non-underlying items are items that in management's judgment need to be disclosed by virtue of their size or incidence so that a user can obtain a proper understanding of the company's financial information. The company considers these items to be significant and accordingly, management has excluded them from their segment measure of performance in Note 5 *Segment Reporting*.

The non-underlying items included in the income statement were as follows:

| For the year ended 31 December<br>Million US dollar        | 2025         | 2024 <sup>1</sup> |
|------------------------------------------------------------|--------------|-------------------|
| Restructuring                                              | (116)        | (156)             |
| Business and asset disposals (including impairment losses) | (274)        | 181               |
| Claims and legal costs                                     | (53)         | -                 |
| Acquisition-related costs (business combinations)          | (5)          | -                 |
| <b>Impact on profit from operations</b>                    | <b>(449)</b> | <b>25</b>         |
| Non-underlying net finance income/(expense)                | (185)        | (995)             |
| Non-underlying share of results of associates              | 9            | 104               |
| Non-underlying taxes                                       | 156          | (205)             |
| Non-underlying non-controlling interest                    | (30)         | 9                 |
| <b>Net impact on profit</b>                                | <b>(499)</b> | <b>(1 062)</b>    |





## CONSOLIDATED FINANCIAL STATEMENTS

### Consolidated income statement and earnings per share

|                                                     |          | Year ended December 31 |               |
|-----------------------------------------------------|----------|------------------------|---------------|
| (in € millions except earnings per share in €)      | Notes    | 2024                   | 2025          |
| <b>SALES</b>                                        | 6.1, 6.2 | <b>27,376</b>          | <b>27,283</b> |
| Cost of goods sold                                  |          | (13,769)               | (13,473)      |
| Selling expense                                     |          | (6,572)                | (6,568)       |
| General and administrative expense                  |          | (2,928)                | (2,996)       |
| Research and Development expense                    |          | (447)                  | (479)         |
| Other income (expense)                              | 6.3      | (102)                  | (102)         |
| <b>RECURRING OPERATING INCOME</b>                   |          | <b>3,558</b>           | <b>3,665</b>  |
| Other operating income (expense)                    | 7.2      | (179)                  | (725)         |
| <b>OPERATING INCOME</b>                             |          | <b>3,379</b>           | <b>2,940</b>  |
| Interest income on cash and short-term investments  |          | 403                    | 301           |
| Financial interest on debt                          |          | (600)                  | (498)         |
| Cost of net financial debt                          | 11.7     | (197)                  | (197)         |
| Other financial income                              | 12.3     | 41                     | 42            |
| Other financial expense                             | 12.3     | (224)                  | (249)         |
| <b>INCOME BEFORE TAX</b>                            |          | <b>2,999</b>           | <b>2,536</b>  |
| Income tax                                          | 9.1      | (929)                  | (741)         |
| <b>NET INCOME FROM FULLY CONSOLIDATED COMPANIES</b> |          | <b>2,070</b>           | <b>1,795</b>  |
| Share of profit of equity-accounted companies       | 5.4      | 30                     | 92            |
| <b>NET INCOME</b>                                   |          | <b>2,100</b>           | <b>1,887</b>  |





## NOTE 7.1. ACCOUNTING PRINCIPLES

### Other operating income (expense)

Other operating income (expense) comprises items that, because of their significant or unusual nature, cannot be viewed as inherent to Danone's recurring activity and have limited predictive value, thereby distorting the assessment of its recurring operating performance and trends in that performance.

These mainly include:

- capital gains and losses on disposals of businesses and fully consolidated companies;
- under IAS 36, impairment charges on intangible assets with indefinite useful lives;

- costs related to strategic restructuring operations or transformation plans;
- costs related to major external growth transactions;
- costs related to crises and major disputes;
- in connection with IFRS 3 and IFRS 10, (i) acquisition costs related to acquisitions of companies resulting in control, (ii) revaluation gains or losses accounted for following a loss of control, and (iii) changes in earn-outs subsequent to acquisitions resulting in control.

## NOTE 7.2. OTHER OPERATING INCOME (EXPENSE)

### Other operating income (expense) in 2025

Other operating income (expense) represented a net expense of €(725) million in 2025 and consisted mainly of the following items:

| <i>(in € millions)</i>                             | Notes  | Related income (expense) |
|----------------------------------------------------|--------|--------------------------|
| Transformation projects <sup>(a)</sup>             |        | (348)                    |
| Impairment of intangible assets                    | 10.3   | (225)                    |
| Impact of sale of EDP Iran business <sup>(b)</sup> | 4.2    | (77)                     |
| Costs related to Kate Farms acquisition            | 3, 4.2 | (66)                     |

*(a) Mainly in Europe and Indonesia.*

*(b) Mainly related to the recycling of cumulative translation adjustments.*

### Other operating income (expense) in 2024

Other operating income (expense) represented a net expense of €(179) million in 2024 and consisted mainly of the following items:

| <i>(in € millions)</i>                                                              | Notes | Related income (expense) |
|-------------------------------------------------------------------------------------|-------|--------------------------|
| Impact of the sale of the EDP business in Russia                                    | 4.2   | 227                      |
| Impact of the sale of the assets related to the US premium organic dairy activities | 4.2   | 41                       |
| Impact of the sale of Michel et Augustin                                            | 4.2   | 36                       |
| Donation to the Danone Ecosystem association                                        |       | (50)                     |
| Impairment of intangible assets                                                     | 10.3  | (51)                     |
| Transformation projects <sup>(a)</sup>                                              |       | (314)                    |

*(a) Mainly in Europe and North America.*



The analyst has to clarify what is the meaning of “unusual” he/she is going to use in its **personal reformulation approach**!

Possible approaches in identifying unusual items (former “extraordinary”):

1. they do not clearly respect the **matching principle** (revenues that are related to prior periods events; costs that are related to prior periods revenues) because of “errors” in recording of transactions and accounting estimates;
2. They are related to events that are **unusual in nature** (not ordinary events)
3. They are related to events that are **infrequent or not recurring or exceptional** (not reasonably be expected to recur in the foreseeable future)

|                                                                                                                                   | Do not respect the matching Principle? | Unusual in nature? | Infrequent? |
|-----------------------------------------------------------------------------------------------------------------------------------|----------------------------------------|--------------------|-------------|
| Income taxes related to a past fiscal year (ex. 3 years ago) because of a tax litigation                                          | Yes                                    |                    |             |
| Recording of a purchase invoice related to the prior accounting period (ex. for legal expenses)                                   | Yes                                    |                    |             |
| Write-off of A/R net of the allowance for doubtful receivables                                                                    | Yes                                    |                    |             |
| Compensation for intellectual property rights breach net of provision                                                             | ?                                      | ?                  | ?           |
| Write-off of a provision for risks (risks didn't occur)                                                                           | Yes                                    |                    |             |
| Dramatic fluctuation of exchange rates                                                                                            |                                        |                    | Yes         |
| Gains/losses from the disposal of a business/division                                                                             |                                        | ?                  | ?           |
| Losses from disasters (Iceland volcanic eruption for British Airways, Deepwater Horizon disaster for BP)                          |                                        | ?                  | ?           |
| Restructuring costs                                                                                                               |                                        | ?                  | ?           |
| Gains/losses from occasional disposals of assets (ex. sale of equipment having a useful life of 15 years because of obsolescence) |                                        |                    | Yes         |
| Occasional impairment of assets (and reversal)                                                                                    |                                        |                    | ?           |



## Statement of Profit and Loss (contra-accounts are assets and liabilities items)

### Statement of profit or loss

XYZ Group—Statement of profit or loss for the year ended 31 December 20X2

|                                                                                       |      | (in thousands of CU) |                |
|---------------------------------------------------------------------------------------|------|----------------------|----------------|
|                                                                                       | Note | 20X2                 | 20X1           |
| Revenue                                                                               |      | 367,000              | 353,100        |
| Cost of sales                                                                         | 1    | (241,600)            | (224,100)      |
| <b>Gross profit</b>                                                                   |      | <b>125,400</b>       | <b>129,000</b> |
| Other operating income                                                                | 2    | 12,200               | 4,100          |
| Selling expenses                                                                      | 1    | (28,900)             | (27,400)       |
| Research and development expenses                                                     | 1, 2 | (25,100)             | (25,900)       |
| General and administrative expenses                                                   | 1, 2 | (20,900)             | (22,400)       |
| Goodwill impairment loss                                                              | 1, 2 | (4,500)              | —              |
| Other operating expenses                                                              |      | (1,200)              | (5,600)        |
| <b>Operating profit</b>                                                               | 2    | <b>57,000</b>        | <b>51,800</b>  |
| Share of profit and gains on disposal of associates and joint ventures <sup>(a)</sup> | 2    | 5,300                | 7,300          |
| <b>Profit before financing and income taxes</b>                                       |      | <b>62,300</b>        | <b>59,100</b>  |
| Interest expenses on borrowings and lease liabilities                                 |      | (13,000)             | (13,200)       |
| Interest expenses on pension liabilities and provisions                               |      | (6,500)              | (6,000)        |
| <b>Profit before income taxes</b>                                                     |      | <b>42,800</b>        | <b>39,900</b>  |
| Income tax expense                                                                    | 2    | (10,700)             | (9,975)        |
| <b>Profit from continuing operations</b>                                              | 2    | <b>32,100</b>        | <b>29,925</b>  |
| Loss from discontinued operations                                                     |      | —                    | (5,500)        |
| <b>PROFIT</b>                                                                         |      | <b>32,100</b>        | <b>24,425</b>  |

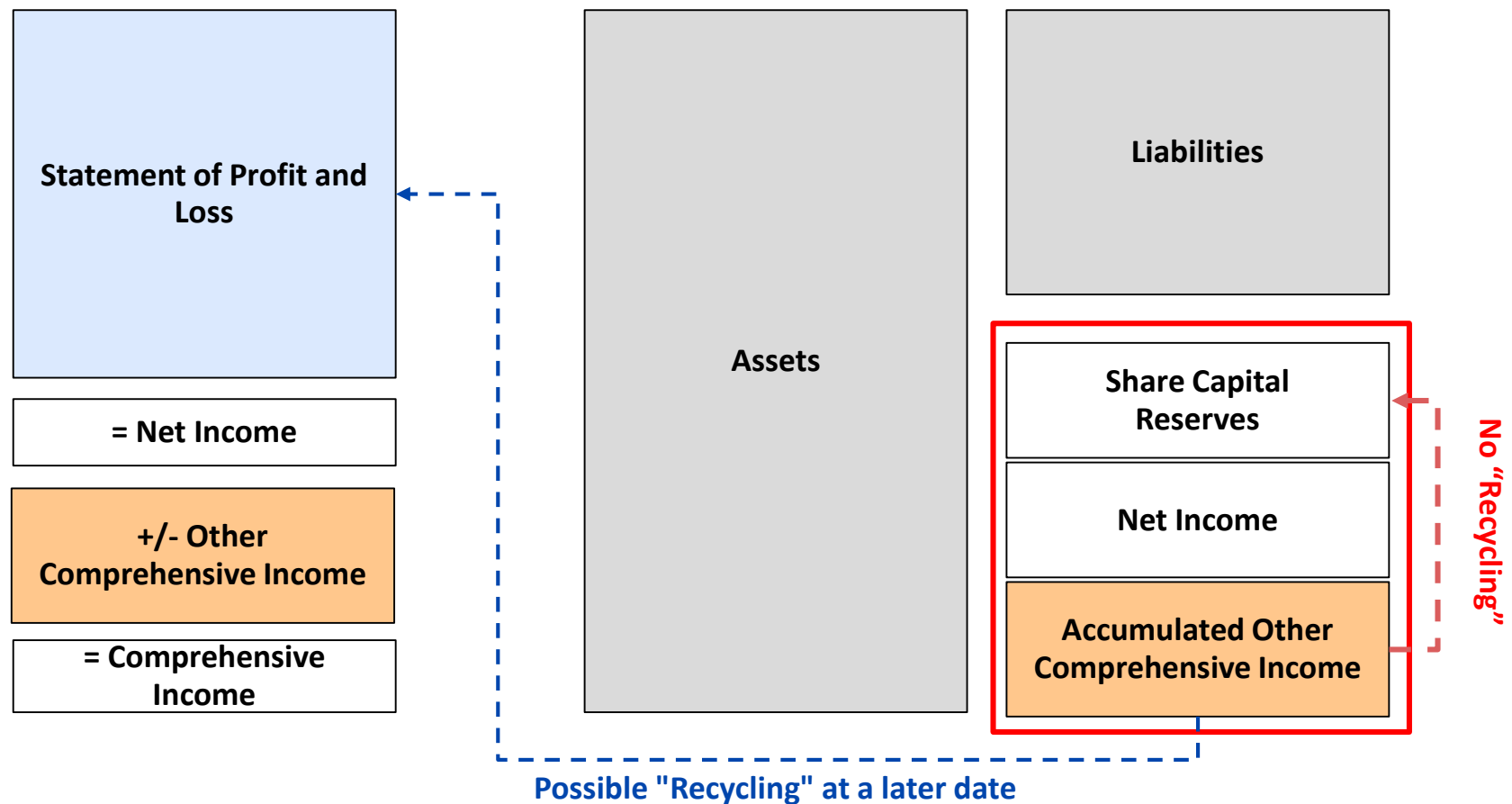
## Statement of Other Comprehensive Income (contra-accounts are net equity items)

### Statement presenting comprehensive income

XYZ Group—Statement presenting comprehensive income for the year ended 31 December 20X2

|                                                                                                                         |      | (in thousands of CU) |               |
|-------------------------------------------------------------------------------------------------------------------------|------|----------------------|---------------|
|                                                                                                                         | Note | 20X2                 | 20X1          |
| <b>Profit</b>                                                                                                           |      | <b>32,100</b>        | <b>24,425</b> |
| <b>Income and expenses that will not be reclassified to profit or loss:</b>                                             |      |                      |               |
| Gains (losses) on remeasurements of defined benefit plans                                                               |      | 6,700                | (4,600)       |
| Share of other comprehensive income of associates and joint ventures <sup>(a)</sup>                                     |      | (2,200)              | 3,300         |
| Income tax relating to income and expenses that will not be reclassified to profit or loss                              | 4    | (1,675)              | 1,150         |
| <b>Total income and expenses that will not be reclassified to profit or loss</b>                                        |      | <b>2,825</b>         | <b>(150)</b>  |
| <b>Income and expenses that will be reclassified to profit or loss when specific conditions are met:</b>                |      |                      |               |
| Exchange differences on translating foreign operations                                                                  | 3    | (5,600)              | 10,000        |
| Losses on cash flow hedges                                                                                              | 3    | (1,200)              | (4,000)       |
| Income tax relating to income and expenses that will be reclassified to profit or loss when specific conditions are met | 4    | 1,700                | (1,500)       |
| <b>Total income and expenses that will be reclassified to profit or loss when specific conditions are met</b>           |      | <b>(5,100)</b>       | <b>4,500</b>  |
| <b>Other comprehensive income, net of tax</b>                                                                           | 4    | <b>(2,275)</b>       | <b>4,350</b>  |
| <b>TOTAL COMPREHENSIVE INCOME</b>                                                                                       |      | <b>29,825</b>        | <b>28,775</b> |





**Net equity** includes the accumulated value of the OCI items recognized in the comprehensive income statement. Subsequently, some of these values can be transferred back to "Net Income" (so-called "recycling") or to other equity accounts

- The bottom line is the Comprehensive Income (Net Income + O.C.I.)
- So, the ROE ratio (Return on Equity) becomes: Comprehensive Income / Net Equity
- **Why O.C.I. items?**
  - For the purposes of financial statements, **different measurement criteria can be used: historical cost vs. current values (fair market value, value in use, current cost)**. For some items of the financial statements, the Accounting Standards adopt a single measurement criterion while for other items they may prefer the use of two different criteria.
  - **When the valuation criteria chosen for the assets/liabilities in the balance sheet (typically "fair value" criteria) lead to changes that are not reflected in net income, the difference must be presented in the OCI.** The changes in value classified in the OCI can be subsequently reclassified to net income (so-called "OCI recycling"): this choice is applied selectively only for some types of OCI (for others, in fact, there is never "recycling").
- **It's a "dirty" situation.** Prof. Penman writes (about Other Comprehensive Income): *"Reporting income items as part of equity rather than in an income statement is known as **dirty-surplus accounting**."*
- **ARE O.C.I. ITEMS UNUSUAL?**



|                                                                        |
|------------------------------------------------------------------------|
| + Revenues (from customers)                                            |
| - Expenses (to third parties)                                          |
| +/- Realized Gains / Losses (with third parties)                       |
| +/- Adjustments (inventory, depreciation, impairment, provisions etc.) |
| +/- Unrealized Gains / Losses (mainly from fair value adjustments)     |
| - Income Taxes                                                         |
| = PROFIT/LOSS FROM CONTINUING OPERATIONS                               |
| +/- Profit/Loss from Discontinued Operations                           |
| = NET INCOME (PROFIT/LOSS)                                             |
| +/- Other Comprehensive Income (net of taxes) – O.C.I.                 |
| = TOTAL COMPREHENSIVE INCOME                                           |

The problem is that not all the effects of fair value accounting are recorded as items of the OCI section. Typical examples of unrealized gains/losses recorded above the Net Income are:

- Fair value adjustments of marketable securities (financial assets at fair value through profit or loss or FVTPL) (see IAS 39 Financial Instruments: Recognition and Measurement);
- Fair value adjustments of derivative instruments (2 cases: non hedging and fair value hedge);
- Fair value adjustments of Investment Properties (fair value option) (see IAS 40 Investment property)
- Revaluation deficit (see IAS 16 Property, Plant and Equipment and IAS 38 Intangible Assets);
- Impairment of assets (related to either the fair value or the value in use).

So, the effects of complex valuations based (mainly but not only) on fair value accounting are recorded either into the Net Income section or into the OCI section, depending on the choice of Accounting Standards.

From IAS 1: "Other comprehensive income" comprises items of income and expense (including reclassification adjustments) that are not recognized in profit or loss as required or permitted by other IFRSs. The components of other comprehensive income include:

- changes in revaluation surplus (see IAS 16 Property, Plant and Equipment and IAS 38 Intangible Assets);
- remeasurements of defined benefit plans (see IAS 19 Employee Benefits);
- gains and losses arising from translating the financial statements of a foreign operation (see IAS 21 The Effects of Changes in Foreign Exchange Rates);
- gains and losses on remeasuring Available-for-sale financial (AFS) assets or Held to Collect and Sell (see IAS 39 and IFRS 9): FVTOCI financial assets;
- the effective portion of gains and losses on hedging instruments in a cash flow hedge (see IAS 39)."

Items sub a), d) and e) are related to fair value accounting.

Item sub b) is related to changes in actuarial assumptions for the pension liabilities. Item sub c) arises from the consolidation of foreign subsidiaries (whose currency is different from the currency of the parent company).



**Criteria for unusual items:**

1. Discontinued operations
2. Changes of accounting principles
3. Unusual in nature
4. Infrequent over time
5. Complex accounting valuation methods (fair value adjustments and other non monetary effect of complex estimates):
  - Reported above the Net Income
  - Reported inside the O.C.I. section

**A frequent characteristic of all the above criteria is that unusual items show an unstable trend (volatility) both in amount and sign.**



## Reformulated Income Statement for the Group

Years Ended March 31, 2013 and 2012

|                                               | 2013           | 2012           |
|-----------------------------------------------|----------------|----------------|
| <b>Net Sales</b>                              | <b>260.199</b> | <b>247.793</b> |
| <b>EBITDA</b>                                 | <b>24.227</b>  | <b>25.330</b>  |
| <b>Depreciation and Amortization</b>          | <b>(5.564)</b> | <b>(5.701)</b> |
| <b>Net Financial Expenses</b>                 | <b>(40)</b>    | <b>(20)</b>    |
| <b>Earning before unusual items and taxes</b> | <b>18.623</b>  | <b>19.609</b>  |
| <b>Unusual Items</b>                          | <b>15.293</b>  | <b>(694)</b>   |
| <b>Taxes</b>                                  | <b>(8.847)</b> | <b>(8.076)</b> |
| <b>Comprehensive Income</b>                   | <b>25.069</b>  | <b>10.839</b>  |

|                                                                     | Millions of Yen |              | Thousands of U.S. Dollars |              | (Note 1)        |
|---------------------------------------------------------------------|-----------------|--------------|---------------------------|--------------|-----------------|
|                                                                     | 2013            | 2012         | 2013                      | 2012         |                 |
| <b>Earnings before Unusual Items and Taxes</b>                      | <b>18.623</b>   | <b>7,2%</b>  | <b>19.609</b>             | <b>7,9%</b>  | <b>200.248</b>  |
| Unusual Items:                                                      |                 |              |                           |              |                 |
| <i>from the "income" statement</i>                                  |                 |              |                           |              |                 |
| Exchange gain (loss), net                                           | 1.728           | 0,7%         | (438)                     | -0,2%        | 18.581          |
| Gain on sales of investments in securities, net (Note 6)            | 89              | 0,0%         | 9                         | 0,0%         | 957             |
| Gain (loss) on redemption of investments in securities, net         | 1               | 0,0%         | (105)                     | 0,0%         | 11              |
| Gain on sales or disposal of PPE and other, net                     | 85              | 0,0%         | 1.264                     | 0,5%         | 914             |
| Loss on revaluation of investments in securities                    | -               | 0,0%         | -                         | 0,0%         | -               |
| Loss on impairment of fixed assets (Notes 8 and 22)                 | (21)            | 0,0%         | (221)                     | -0,1%        | (226)           |
| Interest income on income taxes refunded (Note 15)                  | 198             | 0,1%         | -                         | 0,0%         | 2.129           |
| Provision for loss on valuation of investments                      | (74)            | 0,0%         | -                         | 0,0%         | (796)           |
| Other, net                                                          | 174             | 0,1%         | 532                       | 0,2%         | 1.870           |
| Refunded income taxes                                               | 1.716           | 0,7%         | -                         | 0,0%         | 18.451          |
| <i>from the "other comprehensive income" statement (before tax)</i> |                 |              |                           |              |                 |
| Unrealized holding gain on securities , before tax                  | 1.604           | 0,6%         | 232                       | 0,1%         | 17.247          |
| Unrealized deferred (loss) gain on hedges , before tax              | (408)           | -0,2%        | 2.426                     | 1,0%         | (4.387)         |
| Revaluation reserve for assets of foreign subsidiaries              | (93)            | 0,0%         | (93)                      | 0,0%         | (1.000)         |
| Translation adjustments                                             | 10.294          | 4,0%         | (4.300)                   | -1,7%        | 110.688         |
|                                                                     | <b>15.293</b>   | <b>5,9%</b>  | <b>(694)</b>              | <b>-0,3%</b> | <b>164.439</b>  |
| <b>Earnings before Taxes</b>                                        | <b>33.916</b>   | <b>13,0%</b> | <b>18.915</b>             | <b>7,6%</b>  | <b>364.687</b>  |
| Taxes (Note 15):                                                    |                 |              |                           |              |                 |
| Current                                                             | (8.700)         | -3,3%        | (7.653)                   | -3,1%        | (93.548)        |
| Deferred                                                            | 501             | 0,2%         | 200                       | 0,1%         | 5.387           |
| Taxes on O.C.I. items                                               | (648)           | -0,2%        | (623)                     | -0,3%        | (6.967)         |
|                                                                     | <b>(8.847)</b>  | <b>-3,4%</b> | <b>(8.076)</b>            | <b>-3,3%</b> | <b>(95.128)</b> |
| <b>Comprehensive income</b>                                         | <b>25.069</b>   | <b>9,6%</b>  | <b>10.839</b>             | <b>4,4%</b>  | <b>269.559</b>  |



**Exhibit 6** Excerpts from Enron and Subsidiaries Consolidated Income Statement, Year-Ended 31 December

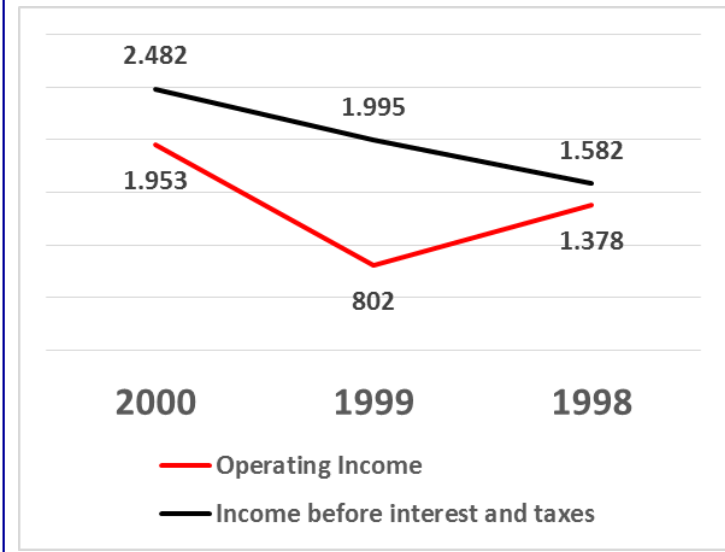
| (In millions, except per share amounts)                      | 2000      | 1999     | 1998     |
|--------------------------------------------------------------|-----------|----------|----------|
| Total revenues                                               | \$100,789 | \$40,112 | \$31,260 |
| Total costs and expenses                                     | 98,836    | 39,310   | 29,882   |
| Operating income                                             | \$1,953   | \$802    | \$1,378  |
| Other income and deductions                                  |           |          |          |
| Equity in earnings of unconsolidated equity affiliates       | \$87      | \$309    | \$97     |
| Gains on sales of non-merchant assets                        | 146       | 541      | 56       |
| Gain on the issuance of stock by TNPC, Inc.                  | 121       | 0        | 0        |
| Interest income                                              | 212       | 162      | 88       |
| Other income, net                                            | -37       | 181      | -37      |
| Income before interest, minority interests, and income taxes | \$2,482   | \$1,995  | \$1,582  |

**1. How does the trend in Enron's operating income compare with the trend in its income after other income and deductions (i.e., Income before interest, minority interests, and income taxes)?**

Enron's **operating income** varied dramatically from year to year, declining from 1998 to 1999 and then more than doubling in 2000.

In contrast, Enron's **income before interest, minority interests, and income taxes** shows a smooth, upward trend with significant increases each year.

The increases were 24% and 26% for 2000 and 1999 relative to 1999 and 1998, respectively.



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| (In millions, except per share amounts)                      | 2000      | 1999     | 1998     |
|--------------------------------------------------------------|-----------|----------|----------|
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| Other income, net                                            | -37       | 181      | -37      |
| Income before interest, minority interests, and income taxes | \$2,482   | \$1,995  | \$1,582  |

**2. What items appear to be non-recurring as opposed to being a result of routine operations? How significant are these items?**

Items that appear to be non-recurring are **gains on sales of non-merchant assets** and the **gain on the issuance of stock by TNPC**. Although gains from sales of non-merchant assets do recur in each year, this type of activity is not a part of Enron's energy distribution operations. In addition, two other nonoperating items — the amount of **equity in earnings from unconsolidated subsidiaries** and the amount of **other income** — are highly variable.

Two aspects are significant.

First, **the smooth, upward trend in Enron's income is the direct result of these items**. Second, **these items collectively represent a significant percentage of the company's income before interest, minority interests, and income taxes**, particularly in 1999 when these items represent 52% of the total:  $(\$309 + \$541 + \$181) / \$1,995 = \$1,031 / \$1,995$ .



## Analysis of R&D: Abbott Laboratories

(In millions of dollars)

|                                     | <u>1998</u>        | <u>1997</u>        | <u>1996</u>  |
|-------------------------------------|--------------------|--------------------|--------------|
| Net sales                           | 12,478             | 11,883             | 11,013       |
| Cost of products sold               | 5,394              | 5,045              | 4,732        |
| Research and development            | 1,222              | 1,302              | 1,205        |
| Selling, general and administrative | 2,744              | 2,685              | 2,459        |
| Total operating expenses            | 9,360              | 9,032              | 8,396        |
| Operating earnings (before tax)     | <u>3,118</u> +9,3% | <u>2,851</u> +8,9% | <u>2,617</u> |
| Sales growth rate                   | 5.0%               | 7.9%               | 10.0%        |
| R&D/Sales                           | 9.8%               | 11.0%              | 10.9%        |

«Recurring» R&D expenses:

$$12,478 \times 11\% = 1,372$$

«Lower» R&D expenses:

$$1,372 - 1,222 = 150$$

«Adjusted» Operating Income:

$$3,118 - 150 = 2,968 \text{ (+4,1\% in comparison to previous year)}$$

Operating Margins are:

1996: 23,76%

1997: 23,99%

1998: 24,98% (23,78% after the adjustment)

### What-if to the Operating Income if we assume a «recurring» R&D/Sales ratio (11%)?

Prof. Penman: “Abbott Laboratories sales growth rates are declining. R&D expenditures are persistent and reasonably flat, but are declining as a percentage of sales. The analyst views R&D expenses as core expenses, but sees the decline in R&D as a percentage of sales as a red flag. Will R&D decline further as a percentage of sales? Is research becoming less successful in producing new products? Is the decline in the sales growth rate due to a failure to increase expenditure on R&D? **Did the firm reduce R&D in 1998 to increase earnings that otherwise would be lower because of the slower sales growth? If the answer to the last question is yes, the reduction in R&D may be transitory, but the analyst has to ask whether the decrease in R&D will damage future sales.**”



We can conclude that there are two “unusual items” categories:

1. **I/S accounts that are unusual (nature and/or frequency) with regard to their full amount** (100% of the single line item amount): ex. Restructuring charges, gains on disposal of assets etc.
  - Unusual I/S accounts
  - We need to define them (it is an analyst’s discretionary choice)
  - It’s a matter of I/S **reformulation**
2. **I/S accounts that are unusual with regard to a portion of their amount** (% of the single line item amount): ex. unusual decrease of advertising expenses, unusual increase of maintenance expenses etc.)
  - Unusual changes in I/S accounts
  - with regard to unusual changes in I/S accounts, Trend Analysis can help us in order to identify main changes, explain their causes and decide if they are somehow anomalous, i.e. unusual (it is an analyst’s discretionary choice)
  - It’s a matter of **trend analysis** in order to get the normalized income (adjusted to remove unusual non-recurring changes)



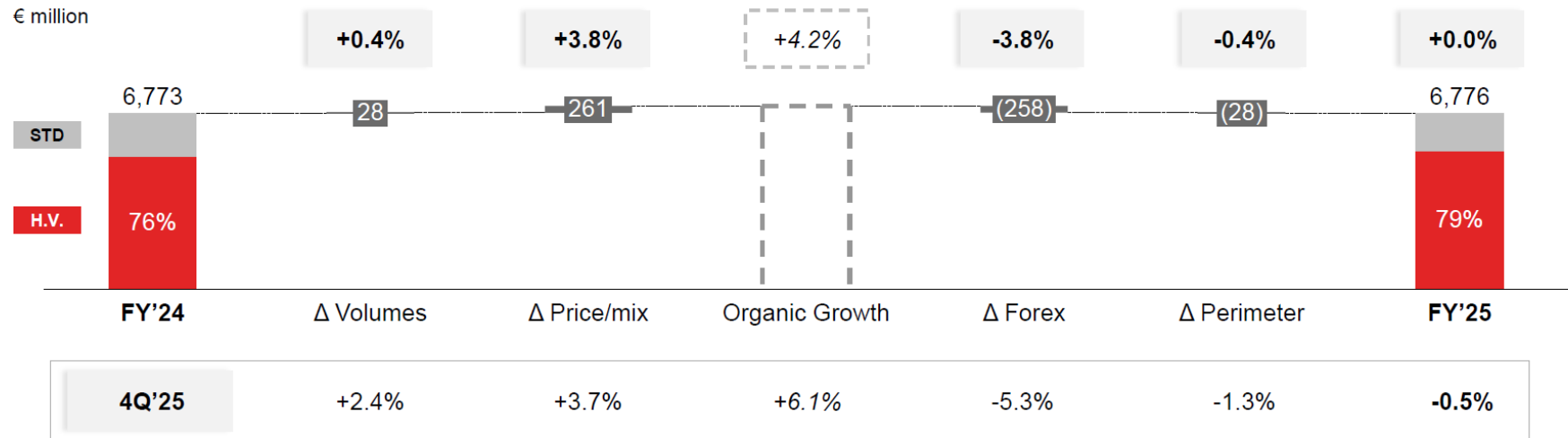
**Trend Analysis techniques:** Trend graphs; Variation (growth) Rates (rolling-forward growth rates and CAGR Compound Annual Growth Rate; Bridge analysis; Stacked Bar Graphs).

Analyst has to separate the following type of variations (according to their predictability):

- 1. Recurring (physiological) variations:** normal (foreseeable in the future); ex. change in raw materials quantity consumption because of an increase in sales
- 2. Non recurring variations:** exceptional; ex. change in raw materials price due to an unusual supply-side shock
- 3. Discretionary variations:** controlled by managers (at least in the short-term...); ex. quick decrease in advertising expenses in order to offset an income reduction
- 4. (very) “Anomalous” variations:** red flags of both earnings management practices and financial frauds; fictitious sales revenues, aggressive reduction of depreciation %, etc.

## FY 2025 Sales bridge

Solid organic growth supported by sound price/mix improvement offsetting forex headwinds. HV Sales Reach 79% of Total Sales



4Q DYNAMICS

- >> **Volumes:** strong HV growth across regions, especially in OE, coupled with continued reduction of Standard
- >> **Price/Mix:** In line with expectations, supported by product and regional mix; negative channel mix due to OE outperformance
- >> **Forex:** US\$ weakness and LatAM currencies volatility; >> **Δ perimeter** due to Däckia AB de-consolidation



PIRELLI FY 2025 PRELIMINARY RESULTS  
Wednesday, 25 February, 2026

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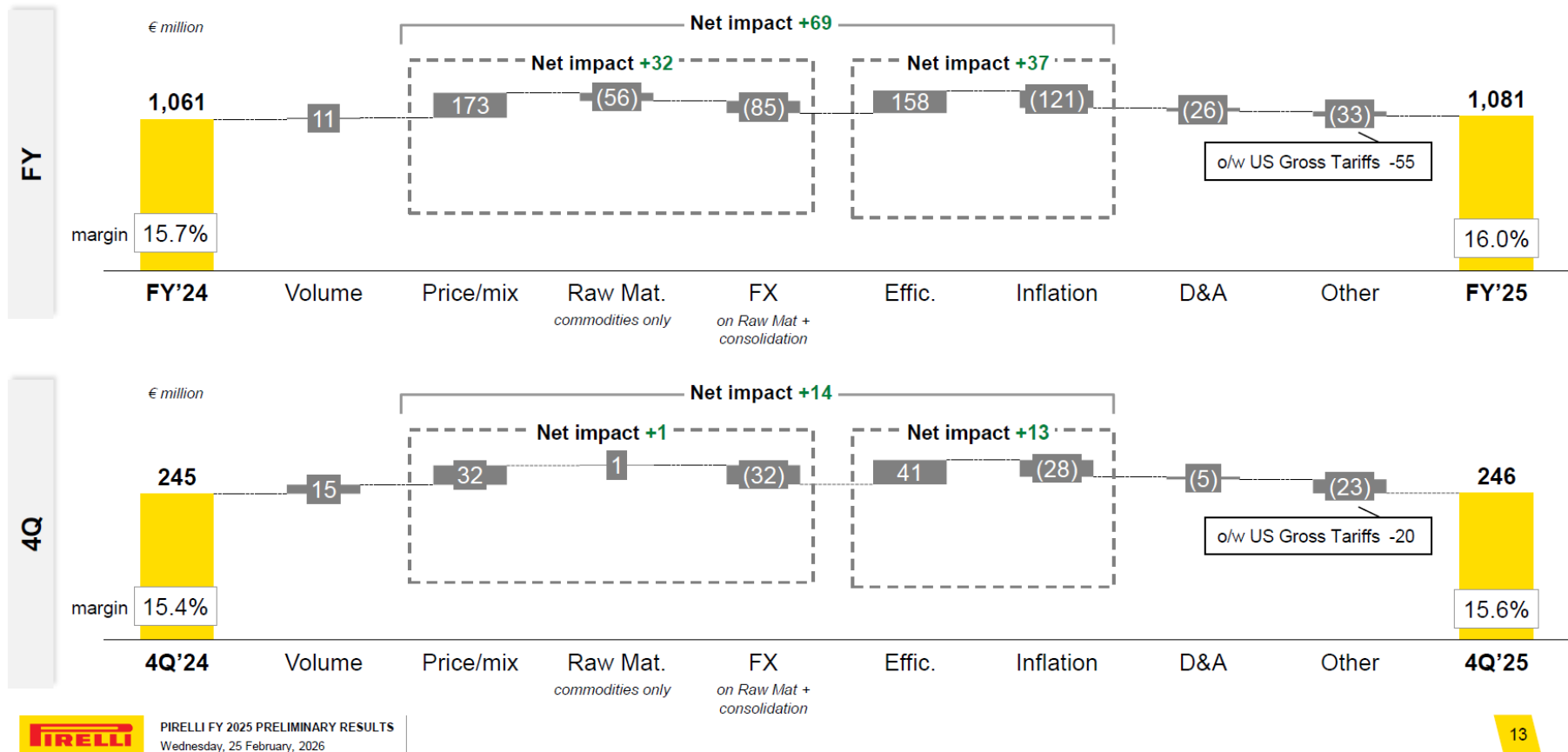
*“Organic” is a non-GAAP measure that excludes the impact of foreign currency exchange rates and acquisitions/divestitures*



Università  
Bocconi  
GRADUATE SCHOOL

## FY 2025 adjusted EBIT

Internal levers (p/mix, efficiencies & tariffs mitigation actions) drive profitability growth, offsetting external headwinds for ~€320M



A real company that went bankrupt (investigation for the Criminal Court): evolution of the main income statement components (millions of Euro)

